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HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 241

AN ACT TO AMEND TITLE 9 AND TITLE 14 OF THE DELAWARE CODE RELATING TO PROPERTY TAX COLLECTION.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

Section 1. Amend § 1917, Title 14 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1917. Collection and deposit of school taxes.

(a) (1) The receiver of taxes and county treasurer shall collect school taxes in the same manner and at the same time as provided by law for the collection of taxes for other purposes, and, except as provided in subsection (c) and (d) of this section, shall allow no abatement or discount upon any taxes levied for school purposes required to be collected by them.

~~(2) a. The Receiver of Taxes and County Treasurer for New Castle County only shall, after September 1 in the year in which the tax rolls shall be delivered to them, assess a penalty of 5% to taxes which are due and owing but unpaid, and shall each month thereafter add to such unpaid taxes a penalty of 1% per month until the same shall be paid. The~~ Except as provided under paragraph (a)(2)b. of this section, the Receiver of Taxes of Kent and Sussex Counties and the Receiver of Taxes and County Treasurer for New Castle County only shall, after September 30 the date the tax is due in the year in which the tax rolls shall be delivered to them, assess a penalty of 1% per month until the same shall be paid.

b. In the first tax year after a general reassessment, the county tax collection authority shall waive the penalties described in paragraph (a)(2)a. of this section for any residential taxpayer who enters into and complies with a payment plan authorized under § 8604 of Title 9.

Section 2. Amend § 8604, Title 9 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8604. Abatement of taxes; penalty for the late payment; removal of delinquent real estate taxes from tax ~~roll~~.
roll; payment plan for school taxes.

(c) (1) The tax collecting authority of each county, upon being authorized by ordinance adopted by County Council or Levy Court, may allow an abatement of or discount upon any tax or penalty for late payment, exclusive of school taxes, required to be collected by them.

(2) In the first year following a general reassessment, the tax collecting authority of each county shall waive any penalty for late payment of school taxes for any residential taxpayer who enters into and complies with a payment plan under subsection (d) of this section.

(d) (1) In the first year following a general reassessment, the tax collecting authority of each county shall allow a taxpayer to enter into a payment plan for the payment of school taxes if the following are met:

a. The property is zoned for residential use and is the primary residence of the taxpayer.

b. The taxpayer's property tax bill exceeds the immediately preceding year's property tax bill by \$300 or more.

(2) A payment plan under this subsection must allow the taxpayer to submit payment of school taxes to the county in at least 3 equal installments and provide that if payments are timely made the taxpayer will not be charged any interest, penalty, or late fee.

(3) A county may set additional eligibility and administrative criteria for a payment plan under this subsection, so long as the criteria are not unduly restrictive or burdensome.

Section 3. Amend § 8610, Title 9 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 8610. Written demand for delinquent taxes in New Castle County.

(a) The Office of Finance for New Castle County shall on or before December 15 of each year, make at least 1 demand in writing upon every person or corporation liable for the payment of any taxes collectible by the County and due and then remaining unpaid for the payment thereof, stating the amount due and that, if the same are not paid during the month of December, legal proceedings will be instituted for the collection thereof. The failure to give notice shall not constitute a bar to any of the proceedings hereinafter authorized and directed. The notice shall be mailed in a sealed postpaid envelope directed to the last known address of the person or corporation, and the day of the mailing shall be deemed the day of the giving of notice.

(b) The Office of Finance for New Castle County is not required to send the written demand under subsection (a) of this section if the taxpayer has entered a payment plan authorized under § 8604 of this title or any other law.

50 Section 4. This Act expires 3 years after its enactment into law, unless otherwise provided by a subsequent act of
51 the General Assembly.

SYNOPSIS

This Act requires the tax collecting authority of each county, in the first tax year following a general reassessment, to allow the payment of school taxes under a payment plan of at least 3 equal installments for a residential taxpayer, in a primary residence, whose tax bill increases by \$300 or more over the prior year. No late fees, interest, or penalties may be assessed to a taxpayer who enters and complies with a payment plan.

The Act also reduces late payment penalties for school taxes in New Castle County to 1% per month, the current penalty for late payment in Kent and Sussex.

This Act sunsets 3 years after its enactment into law.